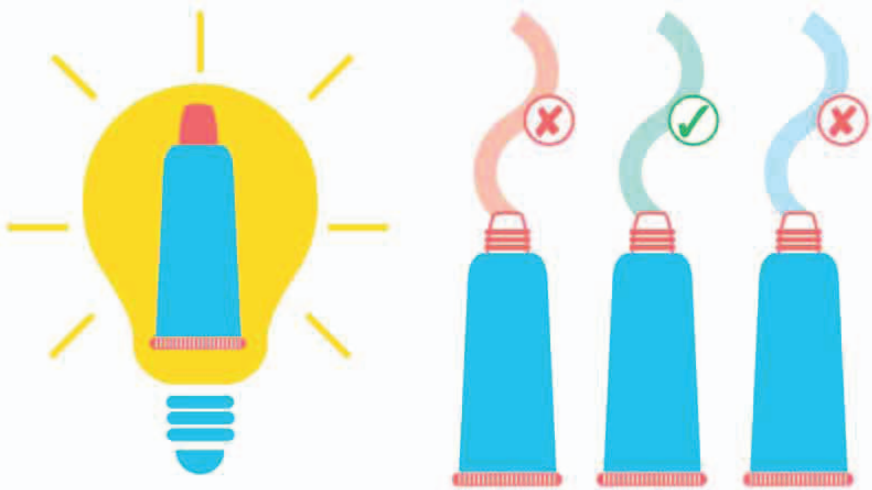
Product

The items that firms sell to satisfy a consumer need and to make a profit for the business are broadly termed product, whether they are something tangible like toothpaste or an intangible service such as an insurance policy. In a typical life cycle, a product is developed and launched, and a few customers take it up. The domino effect causes wider distribution. Growth eases as the market becomes saturated, and sales flatten and decline until the product is no longer viable.

Product evolution

From start to finish, every product, such as a tube of toothpaste, goes through a process of testing, innovation, and quality control to ensure that it will make the biggest impact on release and throughout its life span. Successful companies understand the limited life span of products and thus invest in the early stages to maximize growth later on.



> "A lot of times, people don't know what they want until you show it to them."
>
> Steve Jobs

New product idea

A company decides to release a tube of toothpaste with a new flavor. Its viability is evaluated and potential competition researched. The new toothpaste also requires other qualities, such as whitening and enamel protection, to capture its segment of the market. *See pp.304–305.*

Testing and development

A focus group is assembled to taste the new flavor, along with some variations. Their preferences and comments are noted, and the toothpaste is developed into a usable product. *See pp.302–303.*